Table 2.1 summarizes these six problems and highlights their direct implications for dynamic authorization. This connection is crucial: authorization doesn't exist in isolation. Every authorization decision depends on what the identity system can provide, and the quality of those inputs depends on how well these identity challenges have been addressed.

Table 2.1 The six core challenges of digital identity and how they impact authorization. Each problem complicates identity management and creates risks for dynamic authorization, where timely and accurate identity data is critical to making good access decisions.

Problem	Primary Impact	Impact on Authorization
Proximity	Physical distance and reliance on technical substitutes for human recognition	Poor initial identity proofing leads to weak authorization signals; reliance on insecure authentication mechanisms makes authorization moot
Interoperability	No global identity layer for people; every service builds its own silo	Inconsistent attribute quality and trust across systems
Flexibility	Fixed schemas that don't evolve with business needs	Authorization logic can't get the attributes it needs
Privacy	Over-collection, replication, and weak controls on data use	Authorization can fail to protect sensitive information; logs can expose unnecessary data if not well-designed
Consent	Coercive or confusing consent requests	Missing consent signals in authorization flows
Scale	Growth of users, apps, devices, and policies	Identity systems can't deliver timely attributes for real-time authorization

These problems are not just theoretical—they shape how organizations design identity infrastructure, how they choose to collect and manage attributes, and how much confidence they can place in each authorization decision. Throughout this book, we'll see that many of the design choices in dynamic authorization systems—from policy design to real-time attribute retrieval—are responses to these identity challenges.

2.3 Identity and digital relationships

We don't build, deploy, and manage identity systems to manage identities. We use them to support relationships. The real value of an identity system comes from the relationships it enables—between employers and employees, companies and customers, healthcare providers and patients, and so on. Each